

COMMITTEE ON EDUCATION
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1763
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-341, Arizona Revised Statutes, is amended to
3 read:

4 15-341. General powers and duties; immunity; delegation

5 A. Each school district governing board shall:

6 1. Prescribe and enforce policies and procedures to govern the
7 schools that are not inconsistent with the laws or rules prescribed by the
8 state board of education.

9 2. Exclude from schools all books, publications, papers or
10 audiovisual materials of a sectarian, partisan or denominational
11 character. This paragraph does not prohibit the elective course allowed by
12 section 15-717.01.

13 3. Manage and control the school property within its district,
14 except that a district may enter into a partnership with an entity,
15 including a charter school, another school district or a military base, to
16 operate a school or offer educational services in a district building,
17 including at a vacant or partially used building, or in any building on
18 the entity's property pursuant to a written agreement between the parties.

19 4. Acquire school furniture, apparatus, equipment, library books
20 and supplies for the schools to use.

21 5. Prescribe the curricula and criteria for the promotion and
22 graduation of pupils as provided in sections 15-701 and 15-701.01.

23 6. Furnish, repair and insure, at full insurable value, the school
24 property of the district.

25 7. Construct school buildings on approval by a vote of the district
26 electors.

27 8. In the name of the district, convey property belonging to the
28 district and sold by the board.

1 9. Purchase school sites when authorized by a vote of the district
2 at an election conducted as nearly as practicable in the same manner as
3 the election provided in section 15-481 and held on a date prescribed in
4 section 15-491, subsection E, but such authorization shall not necessarily
5 specify the site to be purchased and such authorization shall not be
6 necessary to exchange unimproved property as provided in section 15-342,
7 paragraph 23.

8 10. Construct, improve and furnish buildings used for school
9 purposes when such buildings or premises are leased from the national park
10 service.

11 11. Purchase school sites or construct, improve and furnish school
12 buildings from the proceeds of the sale of school property only on
13 approval by a vote of the district electors.

14 12. Hold pupils to strict account for disorderly conduct on school
15 property.

16 13. Discipline students for disorderly conduct on the way to and
17 from school.

18 14. ~~Except as provided in section 15-1224,~~ Deposit all monies
19 received by the district as gifts, grants and devises with the county
20 treasurer who shall credit the deposits as designated in the uniform
21 system of financial records. If not inconsistent with the terms of the
22 gifts, grants and devises given, **THE SCHOOL DISTRICT GOVERNING BOARD SHALL**
23 **EITHER USE** any balance remaining after expenditures for the intended
24 purpose of the monies have been made ~~shall be used~~ to reduce school
25 district taxes for the budget year, ~~except that in the case of~~ **OR TRANSFER**
26 **THE MONIES TO THE ADDITIONAL MONIES FUND ESTABLISHED BY SECTION 15-1232.**
27 **IF NOT INCONSISTENT WITH THE TERMS OF THE GIFTS, GRANTS AND DEVISES GIVEN**
28 **TO** accommodation schools, the county treasurer shall carry the balance
29 forward for use by the county school superintendent for accommodation
30 schools for the budget year.

31 15. Provide that, if a parent or legal guardian chooses not to
32 accept a decision of the teacher as provided in paragraph 42 of this
33 subsection, the parent or legal guardian may request in writing that the
34 governing board review the teacher's decision. This paragraph does not
35 release school districts from any liability relating to a child's
36 promotion or retention.

37 16. Provide for adequate supervision over pupils in instructional
38 and noninstructional activities by certificated or noncertificated
39 personnel.

40 17. Use school monies received from the state and county school
41 apportionment exclusively to pay salaries of teachers and other employees
42 and contingent expenses of the district.

43 18. Annually report to the county school superintendent on or
44 before October 1 in the manner and form and on the blanks prescribed by
45 the superintendent of public instruction or county school superintendent.
46 The board shall also report directly to the county school superintendent
47 or the superintendent of public instruction whenever required.

1 19. Deposit all monies received by school districts other than
2 student activities monies or monies from auxiliary operations as provided
3 in sections 15-1125 and 15-1126 with the county treasurer to the credit of
4 the school district except as provided in paragraph 20 of this subsection
5 and ~~[sections]~~ ~~[SECTION]~~ 15-1223 ~~[and]~~ ~~15-1224~~ ~~[15-1232]~~, and the board
6 shall spend the monies as provided by law for other school funds.

7 20. Establish bank accounts in which the board during a month may
8 deposit miscellaneous monies received directly by the district. The board
9 shall remit monies deposited in the bank accounts at least monthly to the
10 county treasurer for deposit as provided in paragraph 19 of this
11 subsection and in accordance with the uniform system of financial records.

12 21. Prescribe and enforce policies and procedures for disciplinary
13 action against a teacher who engages in conduct that is a violation of the
14 policies of the governing board but that is not cause for dismissal of the
15 teacher or for revocation of the certificate of the teacher. Disciplinary
16 action may include suspension without pay for a period of time not to
17 exceed ten school days. Disciplinary action shall not include suspension
18 with pay or suspension without pay for a period of time longer than ten
19 school days. The procedures shall include notice, hearing and appeal
20 provisions for violations that are cause for disciplinary action. The
21 governing board may designate a person or persons to act on behalf of the
22 board on these matters.

23 22. Prescribe and enforce policies and procedures for disciplinary
24 action against an administrator who engages in conduct that is a violation
25 of the policies of the governing board regarding duties of administrators
26 but that is not cause for dismissal of the administrator or for revocation
27 of the certificate of the administrator. Disciplinary action may include
28 suspension without pay for a period of time not to exceed ten school days.
29 Disciplinary action shall not include suspension with pay or suspension
30 without pay for a period of time longer than ten school days. The
31 procedures shall include notice, hearing and appeal provisions for
32 violations that are cause for disciplinary action. The governing board
33 may designate a person or persons to act on behalf of the board on these
34 matters. For violations that are cause for dismissal, the provisions of
35 notice, hearing and appeal in chapter 5, article 3 of this title apply.
36 The filing of a timely request for a hearing suspends the imposition of a
37 suspension without pay or a dismissal pending completion of the hearing.

38 23. Notwithstanding sections 13-3108 and 13-3120, prescribe and
39 enforce policies and procedures that prohibit a person from carrying or
40 possessing a weapon on school grounds unless the person is a peace officer
41 or has obtained specific authorization from the school administrator.

42 24. Prescribe and enforce policies and procedures relating to the
43 health and safety of all pupils participating in district-sponsored
44 practice sessions or games or other interscholastic athletic activities,
45 including:

46 (a) The provision of water.

1 (b) Guidelines, information and forms, developed in consultation
2 with a statewide private entity that supervises interscholastic
3 activities, to inform and educate coaches, pupils and parents of the
4 dangers of concussions and head injuries and the risks of continued
5 participation in athletic activity after a concussion. The policies and
6 procedures shall require that, before a pupil participates in an athletic
7 activity, the pupil and the pupil's parent sign an information form at
8 least once each school year that states that the parent is aware of the
9 nature and risk of concussion. The policies and procedures shall require
10 that a pupil who is suspected of sustaining a concussion in a practice
11 session, game or other interscholastic athletic activity be immediately
12 removed from the athletic activity and that the pupil's parent or guardian
13 be notified. A coach from the pupil's team or an official or a licensed
14 health care provider may remove a pupil from play. A team parent may also
15 remove the parent's own child from play. A pupil may return to play on
16 the same day if a health care provider rules out a suspected concussion at
17 the time the pupil is removed from play. On a subsequent day, the pupil
18 may return to play if the pupil has been evaluated by and received written
19 clearance to resume participation in athletic activity from a health care
20 provider who has been trained in evaluating and managing concussions and
21 head injuries. A health care provider who is a volunteer and who provides
22 clearance to participate in athletic activity on the day of the suspected
23 injury or on a subsequent day is immune from civil liability with respect
24 to all decisions made and actions taken that are based on good faith
25 implementation of the requirements of this subdivision, except in cases of
26 gross negligence or wanton or wilful neglect. A school district, school
27 district employee, team coach, official or team volunteer or a parent or
28 guardian of a team member is not subject to civil liability for any act,
29 omission or policy undertaken in good faith to comply with the
30 requirements of this subdivision or for a decision made or an action taken
31 by a health care provider. A group or organization that uses property or
32 facilities owned or operated by a school district for athletic activities
33 shall comply with the requirements of this subdivision. A school district
34 and its employees and volunteers are not subject to civil liability for
35 any other person or organization's failure or alleged failure to comply
36 with the requirements of this subdivision. This subdivision does not
37 apply to teams that are based in another state and that participate in an
38 athletic activity in this state. For the purposes of this subdivision,
39 athletic activity does not include dance, rhythmic gymnastics,
40 competitions or exhibitions of academic skills or knowledge or other
41 similar forms of physical noncontact activities, civic activities or
42 academic activities, whether engaged in for the purposes of competition or
43 recreation. For the purposes of this subdivision, "health care provider"
44 means a physician who is licensed pursuant to title 32, chapter 13, 14 or
45 17, an athletic trainer who is licensed pursuant to title 32, chapter 41,
46 a nurse practitioner who is licensed pursuant to title 32, chapter 15, and
47 a physician assistant who is licensed pursuant to title 32, chapter 25.

1 (c) Guidelines, information and forms that are developed in
2 consultation with a statewide private entity that supervises
3 interscholastic activities to inform and educate coaches, pupils and
4 parents of the dangers of heat-related illnesses, sudden cardiac death and
5 prescription opioid use. Before a pupil participates in any
6 district-sponsored practice session or game or other interscholastic
7 athletic activity, the pupil and the pupil's parent must be provided with
8 information at least once each school year on the risks of heat-related
9 illnesses, sudden cardiac death and prescription opioid addiction.

10 25. Establish an assessment, data gathering and reporting system as
11 prescribed in chapter 7, article 3 of this title.

12 26. Provide special education programs and related services
13 pursuant to section 15-764, subsection A to all children with disabilities
14 as defined in section 15-761.

15 27. Administer competency tests prescribed by the state board of
16 education for the graduation of pupils from high school.

17 28. Ensure that insurance coverage is secured for all construction
18 projects for purposes of general liability, property damage and workers'
19 compensation and secure performance and payment bonds for all construction
20 projects.

21 29. Collect and maintain information about each current and former
22 teacher's educational and teaching background and experience in a
23 particular academic content subject area. A school district shall either
24 post the information on the school district's website or make the
25 information available for inspection on request of parents and guardians
26 of pupils enrolled at a school. This paragraph does not require any
27 school to release personally identifiable information in relation to any
28 teacher, including the teacher's address, salary, social security number
29 or telephone number.

30 30. Report to local law enforcement agencies any suspected crime
31 against a person or property that is a serious offense as defined in
32 section 13-706 or that involves a deadly weapon or dangerous instrument or
33 serious physical injury and any conduct that poses a threat of death or
34 serious physical injury to employees, students or anyone on the property
35 of the school. This paragraph does not limit or preclude the reporting by
36 a school district or an employee of a school district of suspected crimes
37 other than those required to be reported by this paragraph. For the
38 purposes of this paragraph, "dangerous instrument", "deadly weapon" and
39 "serious physical injury" have the same meanings prescribed in section
40 13-105.

41 31. In conjunction with local law enforcement agencies and
42 emergency response agencies, develop an emergency response plan for each
43 school in the school district in accordance with minimum standards
44 developed jointly by the department of education and the division of
45 emergency management within the department of emergency and military
46 affairs. Any emergency response plan developed pursuant to this paragraph

1 must address how the school and emergency responders will communicate with
2 and provide assistance to students with disabilities.

3 32. Provide written notice to the parents or guardians of all
4 students enrolled in the school district at least ten days before a public
5 meeting to discuss closing a school within the school district. The
6 notice shall include the reasons for the proposed closure and the time and
7 place of the meeting. The governing board shall fix a time for a public
8 meeting on the proposed closure not less than ten days before voting in a
9 public meeting to close the school. The school district governing board
10 shall give notice of the time and place of the meeting. At the time and
11 place designated in the notice, the school district governing board shall
12 hear reasons for or against closing the school. The school district
13 governing board is exempt from this paragraph if the governing board
14 determines that the school shall be closed because it poses a danger to
15 the health or safety of the pupils or employees of the school.
16 A governing board may consult with the division of school facilities
17 within the department of administration for technical assistance and for
18 information on the impact of closing a school. The information provided
19 from the division of school facilities within the department of
20 administration shall not require the governing board to take or not take
21 any action.

22 33. Incorporate instruction on Native American history into
23 appropriate existing curricula.

24 34. Prescribe and enforce policies and procedures:

25 (a) Allowing pupils who have been diagnosed with anaphylaxis by a
26 health care provider licensed pursuant to title 32, chapter 13, 14, 17 or
27 25 or by a registered nurse practitioner licensed and certified pursuant
28 to title 32, chapter 15 to carry and self-administer emergency
29 medications, including epinephrine delivery systems, while at school and
30 at school-sponsored activities. The pupil's name on the prescription
31 label on the medication container or on the medication device and annual
32 written documentation from the pupil's parent or guardian to the school
33 that authorizes possession and self-administration is sufficient proof
34 that the pupil is entitled to possess and self-administer the
35 medication. The policies shall require a pupil who uses an epinephrine
36 delivery system while at school and at school-sponsored activities to
37 notify the nurse or the designated school staff person of the use of the
38 medication as soon as practicable. A school district and its employees
39 are immune from civil liability with respect to all decisions made and
40 actions taken that are based on good faith implementation of the
41 requirements of this subdivision, except in cases of wanton or wilful
42 neglect.

43 (b) For the emergency administration of epinephrine delivery
44 systems by a trained employee of a school district pursuant to section
45 15-157.

46 35. Allow the possession and self-administration of prescription
47 medication for breathing disorders in handheld inhaler devices by pupils

1 who have been prescribed that medication by a health care professional
2 licensed pursuant to title 32. The pupil's name on the prescription label
3 on the medication container or on the handheld inhaler device and annual
4 written documentation from the pupil's parent or guardian to the school
5 that authorizes possession and self-administration is sufficient proof
6 that the pupil is entitled to possess and self-administer the medication.
7 A school district and its employees are immune from civil liability with
8 respect to all decisions made and actions taken that are based on a good
9 faith implementation of the requirements of this paragraph.

10 36. Prescribe and enforce policies and procedures to prohibit
11 pupils from harassing, intimidating and bullying other pupils on school
12 grounds, on school property, on school buses, at school bus stops, at
13 school-sponsored events and activities and through the use of electronic
14 technology or electronic communication on school computers, networks,
15 forums and mailing lists that include the following components:

16 (a) A procedure for pupils, parents and school district employees
17 to confidentially report to school officials incidents of harassment,
18 intimidation or bullying. The school shall make available written forms
19 designed to provide a full and detailed description of the incident and
20 any other relevant information about the incident.

21 (b) A requirement that school district employees report in writing
22 suspected incidents of harassment, intimidation or bullying to the
23 appropriate school official and a description of appropriate disciplinary
24 procedures for employees who fail to report suspected incidents that are
25 known to the employee.

26 (c) A requirement that, at the beginning of each school year,
27 school officials provide all pupils with a written copy of the rights,
28 protections and support services available to a pupil who is an alleged
29 victim of an incident reported pursuant to this paragraph.

30 (d) If an incident is reported pursuant to this paragraph, a
31 requirement that school officials provide a pupil who is an alleged victim
32 of the incident with a written copy of the rights, protections and support
33 services available to that pupil.

34 (e) A formal process for documenting reported incidents of
35 harassment, intimidation or bullying and providing for the
36 confidentiality, maintenance and disposition of this documentation.
37 School districts shall maintain documentation of all incidents reported
38 pursuant to this paragraph for at least six years. The school shall not
39 use that documentation to impose disciplinary action unless the
40 appropriate school official has investigated and determined that the
41 reported incidents of harassment, intimidation or bullying occurred. If a
42 school provides documentation of reported incidents to persons other than
43 school officials or law enforcement, all individually identifiable
44 information shall be redacted.

45 (f) A formal process for the appropriate school officials to
46 investigate suspected incidents of harassment, intimidation or bullying,
47 including procedures for notifying the alleged victim and the alleged

1 victim's parent or guardian when a school official or employee becomes
2 aware of the suspected incident of harassment, intimidation or bullying.

3 (g) Disciplinary procedures for pupils who have admitted or been
4 found to have committed incidents of harassment, intimidation or bullying.

5 (h) A procedure that sets forth consequences for submitting false
6 reports of incidents of harassment, intimidation or bullying.

7 (i) Procedures designed to protect the health and safety of pupils
8 who are physically harmed as the result of incidents of harassment,
9 intimidation and bullying, including, if appropriate, procedures to
10 contact emergency medical services or law enforcement agencies, or both.

11 (j) Definitions of harassment, intimidation and bullying.

12 37. Prescribe and enforce policies and procedures regarding
13 changing or adopting attendance boundaries that include the following
14 components:

15 (a) A procedure for holding public meetings to discuss attendance
16 boundary changes or adoptions that allows public comments.

17 (b) A procedure to notify the parents or guardians of the students
18 affected, including assurance that, if that school remains open as part of
19 the boundary change and capacity is available, students assigned to a new
20 attendance area may stay enrolled in their current school.

21 (c) A procedure to notify the residents of the households affected
22 by the attendance boundary changes.

23 (d) A process for placing public meeting notices and proposed maps
24 on the school district's website for public review, if the school district
25 maintains a website.

26 (e) A formal process for presenting the attendance boundaries of
27 the affected area in public meetings that allows public comments.

28 (f) A formal process for notifying the residents and parents or
29 guardians of the affected area as to the decision of the governing board
30 on the school district's website, if the school district maintains a
31 website.

32 (g) A formal process for updating attendance boundaries on the
33 school district's website within ninety days after an adopted boundary
34 change. The school district shall send a direct link to the school
35 district's attendance boundaries website to the department of real estate.

36 38. If the state board of education determines that the school
37 district has committed an overexpenditure as defined in section 15-107,
38 provide a copy of the fiscal management report submitted pursuant to
39 section 15-107, subsection H on its website and make copies available to
40 the public on request. The school district shall comply with a request
41 within five business days after receipt.

42 39. Ensure that the contract for the superintendent is structured
43 in a manner in which up to twenty percent of the total annual salary
44 included for the superintendent in the contract is classified as
45 performance pay. This paragraph does not require school districts to
46 increase total compensation for superintendents. Unless the school
47 district governing board votes to implement an alternative procedure at a

1 public meeting called for this purpose, the performance pay portion of the
2 superintendent's total annual compensation shall be determined as follows:

3 (a) Twenty-five percent of the performance pay shall be determined
4 based on the percentage of academic gain determined by the department of
5 education of pupils who are enrolled in the school district compared to
6 the academic gain achieved by the highest ranking of the fifty largest
7 school districts in this state. For the purposes of this subdivision, the
8 department of education shall determine academic gain by the academic
9 growth achieved by each pupil who has been enrolled at the same school in
10 a school district for at least five consecutive months measured against
11 that pupil's academic results in the 2008-2009 school year. For the
12 purposes of this subdivision, of the fifty largest school districts in
13 this state, the school district with pupils who demonstrate the highest
14 statewide percentage of overall academic gain measured against academic
15 results for the 2008-2009 school year shall be assigned a score of 100 and
16 the school district with pupils who demonstrate the lowest statewide
17 percentage of overall academic gain measured against academic results for
18 the 2008-2009 school year shall be assigned a score of 0.

19 (b) Twenty-five percent of the performance pay shall be determined
20 by the percentage of parents of pupils who are enrolled at the school
21 district who assign a letter grade of "A" to the school on a survey of
22 parental satisfaction with the school district. The parental satisfaction
23 survey shall be administered and scored by an independent entity that is
24 selected by the governing board and that demonstrates sufficient expertise
25 and experience to accurately measure the results of the survey. The
26 parental satisfaction survey shall use standard random sampling procedures
27 and provide anonymity and confidentiality to each parent who participates
28 in the survey. The letter grade scale used on the parental satisfaction
29 survey shall direct parents to assign one of the following letter grades:

- 30 (i) A letter grade of "A" if the school district is excellent.
31 (ii) A letter grade of "B" if the school district is above average.
32 (iii) A letter grade of "C" if the school district is average.
33 (iv) A letter grade of "D" if the school district is below average.
34 (v) A letter grade of "F" if the school district is a failure.

35 (c) Twenty-five percent of the performance pay shall be determined
36 by the percentage of teachers who are employed at the school district and
37 who assign a letter grade of "A" to the school on a survey of teacher
38 satisfaction with the school. The teacher satisfaction survey shall be
39 administered and scored by an independent entity that is selected by the
40 governing board and that demonstrates sufficient expertise and experience
41 to accurately measure the results of the survey. The teacher satisfaction
42 survey shall use standard random sampling procedures and provide anonymity
43 and confidentiality to each teacher who participates in the survey. The
44 letter grade scale used on the teacher satisfaction survey shall direct
45 teachers to assign one of the following letter grades:

- 46 (i) A letter grade of "A" if the school district is excellent.
47 (ii) A letter grade of "B" if the school district is above average.

1 (iii) A letter grade of "C" if the school district is average.

2 (iv) A letter grade of "D" if the school district is below average.

3 (v) A letter grade of "F" if the school district is a failure.

4 (d) Twenty-five percent of the performance pay shall be determined
5 by other criteria selected by the governing board.

6 40. Maintain and store permanent public records of the school
7 district as required by law. Notwithstanding section 39-101, the
8 standards adopted by the Arizona state library, archives and public
9 records for the maintenance and storage of school district public records
10 shall allow school districts to elect to satisfy the requirements of this
11 paragraph by maintaining and storing these records either on paper or in
12 an electronic format, or a combination of a paper and electronic format.

13 41. Adopt in a public meeting and implement policies for principal
14 evaluations. Before adopting principal evaluation policies, the school
15 district governing board shall provide opportunities for public discussion
16 on the proposed policies. The governing board shall adopt policies that:

17 (a) Are designed to improve principal performance and improve
18 student achievement.

19 (b) Include the use of quantitative data on the academic progress
20 for all students, which shall account for between twenty percent and
21 thirty-three percent of the evaluation outcomes.

22 (c) Include four performance classifications, designated as highly
23 effective, effective, developing and ineffective.

24 (d) Describe both of the following:

25 (i) The methods used to evaluate the performance of principals,
26 including the data used to measure student performance and job
27 effectiveness.

28 (ii) The formula used to determine evaluation outcomes.

29 42. Prescribe and enforce policies and procedures that define the
30 duties of principals and teachers. These policies and procedures shall
31 authorize teachers to take and maintain daily classroom attendance, make
32 the decision to promote or retain a pupil in a grade in common school or
33 to pass or fail a pupil in a course in high school, subject to review by
34 the governing board in the manner provided in section 15-342,
35 paragraph 11.

36 43. Prescribe and enforce policies and procedures for the emergency
37 administration by an employee of a school district pursuant to section
38 36-2267 of naloxone hydrochloride or any other opioid antagonist approved
39 by the United States food and drug administration.

40 44. In addition to the notification requirements prescribed in
41 paragraph 36 of this subsection, prescribe and enforce reasonable and
42 appropriate policies to notify a pupil's parent or guardian if any person
43 engages in harassing, threatening or intimidating conduct against that
44 pupil. A school district and its officials and employees are immune from
45 civil liability with respect to all decisions made and actions taken that
46 are based on good faith implementation of the requirements of this
47 paragraph, except in cases of gross negligence or wanton or wilful

1 neglect. A person engages in threatening or intimidating if the person
2 threatens or intimidates by word or conduct to cause physical injury to
3 another person or serious damage to the property of another on school
4 grounds. A person engages in harassment if, with intent to harass or with
5 knowledge that the person is harassing another person, the person
6 anonymously or otherwise contacts, communicates or causes a communication
7 with another person by verbal, electronic, mechanical, telephonic or
8 written means in a manner that harasses on school grounds or substantially
9 disrupts the school environment.

10 45. Each fiscal year, provide to each school district employee a
11 total compensation statement that is broken down by category of benefit or
12 payment and that includes, for that employee, at least all of the
13 following:

- 14 (a) Base salary and any additional pay.
- 15 (b) Medical benefits and the value of any employer-paid portions of
16 insurance plan premiums.
- 17 (c) Retirement benefit plans, including social security.
- 18 (d) Legally required benefits.
- 19 (e) Any paid leave.
- 20 (f) Any other payment made to or on behalf of the employee.
- 21 (g) Any other benefit provided to the employee.

22 46. Develop and adopt in a public meeting policies to allow for
23 visits, tours and observations of all classrooms by parents of enrolled
24 pupils and parents who wish to enroll their children in the school
25 district unless a visit, tour or observation threatens the health and
26 safety of pupils and staff. These policies and procedures must be easily
27 accessible from the home page on each school's website.

28 B. Notwithstanding subsection A, paragraphs 7, 9 and 11 of this
29 section, the county school superintendent may construct, improve and
30 furnish school buildings or purchase or sell school sites in the conduct
31 of an accommodation school.

32 C. If any school district acquires real or personal property,
33 whether by purchase, exchange, condemnation, gift or otherwise, the
34 governing board shall pay to the county treasurer any taxes on the
35 property that were unpaid as of the date of acquisition, including
36 penalties and interest. The lien for unpaid delinquent taxes, penalties
37 and interest on property acquired by a school district:

38 1. Is not abated, extinguished, discharged or merged in the title
39 to the property.

40 2. Is enforceable in the same manner as other delinquent tax liens.

41 D. The governing board may not locate a school on property that is
42 less than one-fourth mile from agricultural land regulated pursuant to
43 section 3-365, except that the owner of the agricultural land may agree to
44 comply with the buffer zone requirements of section 3-365. If the owner
45 agrees in writing to comply with the buffer zone requirements and records
46 the agreement in the office of the county recorder as a restrictive
47 covenant running with the title to the land, the school district may

1 locate a school within the affected buffer zone. The agreement may
2 include any stipulations regarding the school, including conditions for
3 future expansion of the school and changes in the operational status of
4 the school that will result in a breach of the agreement.

5 E. A school district, its governing board members, its school
6 council members and its employees are immune from civil liability for the
7 consequences of adopting and implementing policies and procedures pursuant
8 to subsection A of this section and section 15-342. This waiver does not
9 apply if the school district, its governing board members, its school
10 council members or its employees are guilty of gross negligence or
11 intentional misconduct.

12 F. A governing board may delegate in writing to a superintendent,
13 principal or head teacher the authority to prescribe procedures that are
14 consistent with the governing board's policies.

15 G. Notwithstanding any other provision of this title, a school
16 district governing board shall not take any action that would result in a
17 reduction of pupil square footage unless the governing board notifies the
18 school facilities oversight board established by section 41-5701.02 of the
19 proposed action and receives written approval from the school facilities
20 oversight board to take the action. A reduction includes an increase in
21 administrative space that results in a reduction of pupil square footage
22 or sale of school sites or buildings, or both. A reduction includes a
23 reconfiguration of grades that results in a reduction of pupil square
24 footage of any grade level. This subsection does not apply to temporary
25 reconfiguration of grades to accommodate new school construction if the
26 temporary reconfiguration does not exceed one year. The sale of equipment
27 that results in a reduction that falls below the equipment requirements
28 prescribed in section 41-5711, subsection B is subject to commensurate
29 withholding of school district district additional assistance monies
30 pursuant to the direction of the school facilities oversight board.
31 Except as provided in section 15-342, paragraph 10, proceeds from the sale
32 of school sites, buildings or other equipment shall be deposited in the
33 school plant fund as provided in section 15-1102.

34 H. Subsections C through G of this section apply to a county board
35 of supervisors and a county school superintendent when operating and
36 administering an accommodation school.

37 I. A school district governing board may delegate authority in
38 writing to the superintendent of the school district to submit plans for
39 new school facilities to the school facilities oversight board for the
40 purpose of certifying that the plans meet the minimum school facility
41 adequacy guidelines prescribed in section 41-5711.

42 J. For the purposes of subsection A, paragraph 37 of this section,
43 attendance boundaries may not be used to require students to attend
44 certain schools based on the student's place of residence.

1 Sec. 2. Section 15-904, Arizona Revised Statutes, is amended to
2 read:

3 15-904. School district annual financial report; publication;
4 summary

5 A. The governing board of each school district shall publish an
6 annual financial report for the prior fiscal year ~~by~~ ON OR BEFORE November
7 15. The auditor general in conjunction with the department of education
8 shall prescribe the format of the financial report to be used by school
9 districts ON OR BEFORE AUGUST 15. The financial report shall contain
10 budgeted and actual expenditures for the preceding fiscal year and shall
11 be prepared and distributed ~~by~~ ON OR BEFORE October 15 by the school
12 district with a copy to the county school superintendent. A copy of the
13 annual financial report shall be submitted electronically by the school
14 district to the superintendent of public instruction ~~by~~ ON OR BEFORE
15 October 15. On or before October 15, the governing board shall submit the
16 annual financial report for the previous fiscal year to the department of
17 education, which shall prominently display this information about that
18 school district on the website maintained by the department. If the
19 school district maintains a website, the school district shall post a link
20 to the website of the department of education where this information about
21 the school district is posted.

22 B. In addition to the information required in subsection A of this
23 section, the annual financial report shall contain detailed information on
24 the school district budgeted and actual expenditures from the bond
25 building fund, the unrestricted capital OUTLAY fund, the adjacent ways
26 fund, the deficiencies correction fund and the new school facilities fund,
27 including information on classified salaries, employee benefits, interest
28 and fiscal charges, capital lease agreements, land and improvements,
29 buildings and improvements, furniture and equipment, technology and
30 vehicles and transportation equipment for pupils. The information shall
31 specify whether the expenditures are for school district renovation or for
32 new construction, the cost per square foot and land acquisition costs, as
33 appropriate.

34 C. Except as provided in subsection D of this section, the
35 governing board shall publish, ~~by~~ ON OR BEFORE November 15, the annual
36 financial report for the school district either in a newspaper of general
37 circulation within the school district, by electronic transmission of the
38 information to the department of education for posting on the department's
39 website or in the official newspaper of the county as prescribed in
40 section 11-255, or the governing board may mail the annual financial
41 report for the school district to each household in the school
42 district. If the governing board chooses to transmit the report
43 electronically to the department of education, the school district shall
44 provide a link on the school district's website to the report on the
45 department's website. If the governing board chooses to publish the
46 report in a newspaper, the size of the newspaper print shall be at least
47 eight-point type. The cost of publication or mailing shall be a charge

1 against the school district. The publisher's affidavit of publication
2 shall be filed by the governing board of the school district with the
3 superintendent of public instruction within thirty days after publication.

4 D. The governing board may publish or mail a summary of the annual
5 financial report in the same manner as provided in subsection C of this
6 section. The auditor general in conjunction with the department of
7 education shall prescribe the form of the summary of the annual financial
8 report for use by the governing boards **ON OR BEFORE AUGUST 15.**

9 E. The superintendent of public instruction shall compile the
10 financial reports of the school districts, including expenditure data for
11 federal and state projects, and shall report to the governor and the
12 legislature on or before January 15 of each year as provided in section
13 15-255.

14 F. ~~Beginning in fiscal year 2020-2021,~~ The annual financial report
15 prescribed by this section shall include the school level data for charter
16 schools and schools operated by school districts ~~prescribed in section~~
17 ~~15-746, subsection E~~ **REQUIRED BY SECTION 15-747.**

18 ~~<<Sec. 3. Section 15-1104, Arizona Revised Statutes, is amended to~~
19 ~~read:~~

20 ~~15-1104. Unemployment compensation fund~~

21 ~~Unemployment compensation monies shall be deposited with the county~~
22 ~~treasurer who shall credit the deposits to the unemployment compensation~~
23 ~~fund of the respective school district. The unemployment compensation~~
24 ~~fund of a school district is a continuing fund AND IS not subject to~~
25 ~~reversion., except that any monies in the fund determined by the~~
26 ~~governing board, or the superintendent or chief administrative officer~~
27 ~~with the approval of the governing board, to be in excess of insurance~~
28 ~~needs shall be EITHER used for reduction of TO REDUCE school district~~
29 ~~taxes for the budget year OR TRANSFERRED TO THE SCHOOL DISTRICT'S~~
30 ~~ADDITIONAL MONIES FUND ESTABLISHED PURSUANT TO SECTION 15-1232.>>~~

31 Sec. 3. Repeal

32 Section 15-1224, Arizona Revised Statutes, is repealed.

33 Sec. 4. Heading change

34 The article heading of title 15, chapter 10, article 9, Arizona
35 Revised Statutes, is changed from "CAREER AND TECHNICAL EDUCATION PROJECTS
36 FUND" to "SPECIAL FUNDS".

37 Sec. 5. Title 15, chapter 10, article 9, Arizona Revised Statutes,
38 is amended by adding section 15-1232, to read:

39 15-1232. Additional monies fund; authorization; prohibition

40 A. EACH SCHOOL DISTRICT GOVERNING BOARD SHALL ESTABLISH AN
41 ADDITIONAL MONIES FUND. THE FUND CONSISTS OF MONIES TRANSFERRED PURSUANT
42 TO SECTION 15-341, SUBSECTION A, PARAGRAPH 14 ~~[OR SECTION 15-1104].~~
43 MONIES IN THE FUND ARE NOT SUBJECT TO REVERSION. ~~[THE FUND IS A CASH~~
44 ~~CONTROLLED FUND AS PROVIDED IN SECTION 15-905, SUBSECTION N.]~~ THE SCHOOL
45 DISTRICT MAY USE MONIES IN THE FUND FOR ANY LAWFUL PURPOSE. ~~[THE SCHOOL~~
46 ~~DISTRICT GOVERNING BOARD SHALL AUTHORIZE EACH EXPENDITURE FROM THE FUND BY~~

1 A MAJORITY VOTE BEFORE THE MONIES ARE SPENT AND WITHOUT THE USE OF A
2 CONSENT AGENDA.]

3 B. A SCHOOL DISTRICT MAY NOT TRANSFER MONIES FROM THE SCHOOL
4 DISTRICT'S MAINTENANCE AND OPERATIONS FUND OR UNRESTRICTED CAPITAL OUTLAY
5 FUND INTO THE ADDITIONAL MONIES FUND ESTABLISHED PURSUANT TO SUBSECTION A
6 OF THIS SECTION.

7 Sec. 6. Transfer of monies

8 The governing board of each school district shall close the bank
9 account opened pursuant to section 15-1224, Arizona Revised Statutes, as
10 repealed by this act, and transfer any remaining monies to the county
11 treasurer for deposit in the additional monies fund of school districts
12 that are established pursuant to section 15-1232, Arizona Revised
13 Statutes, as added by this act.

14 Enroll and engross to conform

15 Amend title to conform

And, as so amended, it do pass

MATT GRESS
CHAIRMAN

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